



Vancouver School of Economics
Undergraduate Society

VSEUS Weekly Economics Gazette Newsletter

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Hello!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

Send us feedback to finance@vseus.ca!

Market Overview:

Markets reached record highs after the U.S. economy grew at a 3.3% annualized rate in Q3. The market has priced in a September rate cut, as Powell appears more focused on labor market conditions.



Article 1: Canada to Remove 25% Tariff on Some U.S. Goods

Author, Source & Date Published: Vipal Monga & Paul Vieira, WSJ, August 22, 2025

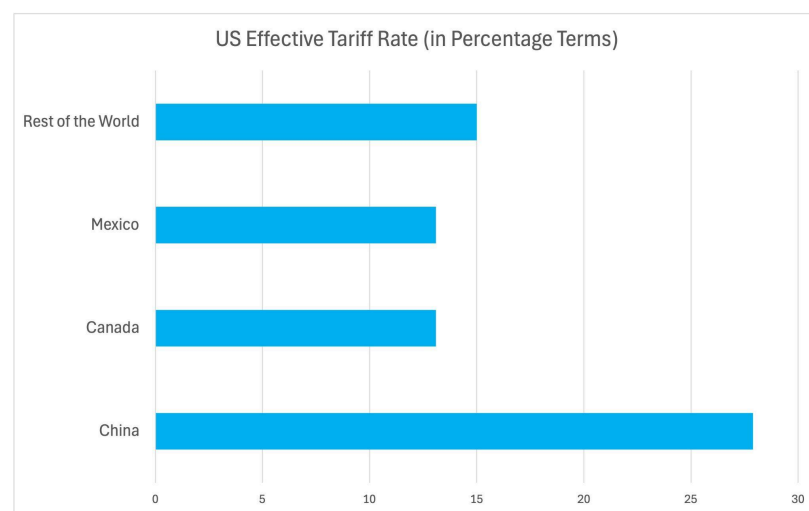
Link: [Reference](#)

Summary:

Ottawa decided to remove its 25% retaliatory tariffs on half of the targeted U.S. goods.

Key Takeaways:

- The announcement comes as Ottawa tries to restore its commercial ties with its American counterpart. This move will affect 21 billion dollars of American goods. It includes items such as orange juice, peanut butter, and motorcycles. Carney's move seems to be following Mexico's formula when dealing with Trump. Mexico didn't retaliate and was able to secure a 90-day pause after the August 1st deadline.
- Carney affirmed that Canada has the best trading deal with the USA, claiming Canada has a U.S. average tariff on Canadian imports of 5.6%. It is important to be skeptical about these types of declarations because it is not clear what formula was used to arrive at this estimation. A relevant comparison should be made with other estimations like the effective tariff rate¹.



Yale Budget Lab. (2025, August 1). The State of U.S. Tariffs – August 1, 2025. Yale University. [Link](#)

¹ Effective tariff rate: $(\text{Tariff Revenue Collected}) / (\text{Total Value of Imports}) * 100$



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- Carney emphasized support for key affected sectors, including lumber, steel, aluminum, and automotive manufacturing. These are key sectors that might require federal stimulus under these unprecedented times.
- Other federal officials praised Carney's removal of tariffs as new USMCA negotiations are going to take place in 2026. The U.S. Ambassador to Canada repeatedly denounced Canada's measures and highlighted the delicate political environment that might affect the outcome of renegotiating the USMCA

Educational Angle:

Canada's commercial moves will provide a solid ground for future trade negotiations with the Trump administration. Carney's tariffs were not suitable solutions, considering that other countries decided not to retaliate. US tariffs are mainly affecting non-energy prices, as the energy prices are lower thanks to the federal carbon tax removal. Canada is working to deliver a de-escalation scenario.



Article 2: RBC's Record Quarter for Capital Markets Fuels Earnings Beat

Author, Source & Date Published: Christine Dobby, Bloomberg, August 27, 2025

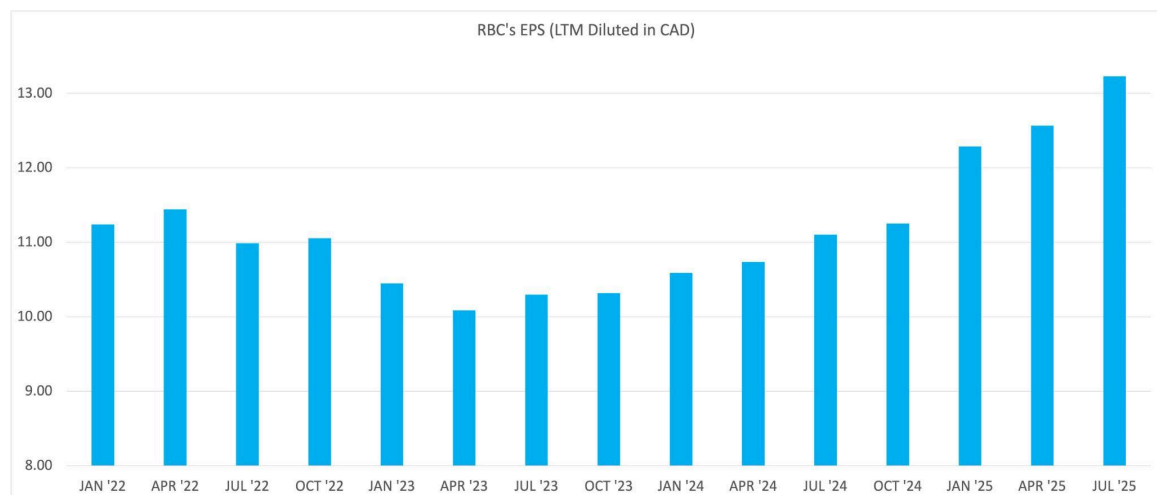
Link: Reference

Summary:

RBC (+5.79%) outperformed analysts' expectations for its equity performance.

Key Takeaways:

- RBC's capital markets² division recorded a 25% profit increase compared to last year's levels. They posted all-time highs in their fixed income sector, as trade uncertainty increased yield volatility. The bank capitalized on market swings to close profitable positions. RBC's diluted EPS rose 21% year over year.



FactSet. (2025). Royal Bank of Canada (RY-CA) - Ratio Analysis. Retrieved August 28, 2025. [Link](#)

- RBC's US operations through subsidiaries like City National have improved their profitability levels. This is improving RBC's books, as it suffers from expected loan losses. RBC's loan losses³ have been lower than expected, but still pose a serious drag on earnings. Businesses are struggling to make interest payments,

² Capital Markets: They are a segment of banking that helps match investors and borrowers at a large scale. It contains different subdivisions like Investment Banking (IB), Mergers and Acquisitions (M&A), Trading, etc. The bank makes money by charging advisory fees or through ask/bid margins.

³ Loan cycle: describes how borrowing and lending change with the economy. When the economy is strong, people feel secure about their jobs and banks are more willing to lend, so loans increase. But during downturns, job uncertainty rises and banks tighten lending standards, so fewer loans are granted.



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and many are defaulting on their loans. The bank has allocated capital to absorb these losses.

- RBC remains cautious about issuing new loans. They are not changing their guidance due to high trade uncertainty. However, they have lowered their pessimistic tone.

Educational Angle:

Students should take notice of how different segments of a bank respond to macroeconomic forces. While capital markets divisions benefit from volatility, lending divisions are more exposed to downside risk when borrowers begin to default or delay payments. This quarter illustrates the importance of diversification within financial institutions. RBC's capital markets strength (especially in fixed income trading) helped offset the impact of rising loan losses.

Article 3: What Would Adam Smith Think About Trump's Tariffs?

Author, Source & Date Published: Sommer Saadi & Merryn Somerset Webb,



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Bloomberg, August 29, 2025

Link: [Reference](#)

Summary:

Adam Smith, often considered the father of modern economics, would reject Trump's protectionism on both economic and moral grounds.

Key Takeaways:

- Smith famously wrote that "the division of labor"⁴ is limited by the extent of the market" (Wealth of Nations). In other words, larger markets permit more specialization, productivity, and prosperity. He was a proponent of open trade, arguing that goods should move freely among nations to maximize mutual gains from specialization.
- Contrary to popular belief, Smith did not celebrate selfishness. His idea of the "invisible hand" assumed that people act with propriety, guided by their "impartial spectator"⁵.
- Trump's trade policy is based on economic nationalism and retaliation. Tariffs under Trump are often driven not by long-term efficiency or fairness, but by political leverage and an America First policy.
- Smith valued good governance, benevolence, and virtuous behavior, arguing that admiration should be reserved for the wise, not simply the wealthy or powerful. Trump's approach prioritizes wealth and economic dominance, often at the expense of transparency and institutional accountability.

Educational Angle:

Students should notice that Smith would strongly disagree with Trump's trade policy because of the selfish motivations behind it. Smith was not completely opposed to tariffs. He acknowledged their role in supporting strategic industries during early development or in response to unfair trade practices.

⁴ Division of Labor: It refers to breaking down production into separate tasks, with each worker specializing in a specific part.

⁵ Impartial Spectator: A moral compass that checks our ego and aligns individual behavior with collective wellbeing.